nicative. He confirmed, however, Gimo's proposal at Hangchow to Li Tsung-jen for creation supreme policy committee which Gimo would head and which would be superior to Cabinet. Sun tried to leave me with impression Li had agreed and insisted creation some such organ capable quick action was needed. Its creation would not affect Legislative and Control Yuans, he said. He was obviously depressed as well as jittery and insisted without conviction that Shanghai would be defended.

Sent Department Cantel 301, repeated Nanking 236, Shanghai 189.

CLARK

893.001 Chiang Kai-shek/5–149 : Telegram

The Minister-Counselor of Embassy in China (Clark) to the Secretary of State

CANTON, May 1, 1949—4 p. m.
[Received May 5—11 : 49 a. m.[80]]

Cantel 303. After more than 4 hours with Acting President Li in Kweilin yesterday, I am convinced he means business; is determined upon showdown with Generalissimo, and is hopeful of success. Chang Fa-kwei and representative [of] Ho Ying-chin were Kweilin while I was there and Li said that they brought assurances of agreement among Canton generals and Ho on need remove Generalissimo irretrievably from scene. Without Generalissimo, C–C Clique would disappear and Li's authority could be made effective.

Problem of how remove Generalissimo is one occupying negotiations at moment. Generalissimo wants resume power, Li said, but feels he cannot do so except at Canton, seat of government, and that he cannot come Canton unless Li also present. Li, therefore, is not coming Canton until he has, to him, convincing assurances that he can control situation and Generalissimo cannot stage come-back. Among the assurances he is seeking of Canton generals and Ho is one that they will not permit Generalissimo come Canton under any circumstances.

Li says Generalissimo is en route Amoy. As he cannot from there resume presidency nor position of commander in chief, Generalissimo plans endeavor exert his authority through party. It was with this idea in view that Generalissimo suggested at Hangchow the 11-man policy committee (apropos this policy committee, Chu Chang-wei said he told Chen Li-fu: "You can tell Generalissimo he may think he can play role Empress Dowager, but he can be sure Li will never be his 'Kuang Hsu'" [81]). Li said he refused flatly have anything do with such policy committee. Party's influence in executive branch government,

[80] Garbled text received May 3, 10 : 30 a. m.

[81] Kuang-hsu reign, 1889–1908, during which the Emperor's widowed aunt wielded power "from behind the curtain" as virtual regent.

he said, should be exercised solely through Legislative Yuan. Li thinks he can get control Taiwan; he will not only have spoiled Generalissimo's plan to make last stand there, thus increasing likelihood Generalissimo may be prevailed upon go abroad, but will also assure to himself the vast resources Generalissimo has concentrated on island. With those resources, Li thinks he can make resistance on scale that will convince Congress further investment China warranted. He expressed firm determination root out all incompetents in armed forces and government and replace them by qualified young men and he expressed hope that when he had done so we would assist him with advisors in fields where qualified Chinese talent was unavailable. He is fully aware that he must demonstrate ability offer alternative to Communism before he can expect any further aid, but he hopes by stemming tide of Communist advance and holding fast, we may be led reconsider our position.

Taiwan being key to problem, Chen Cheng becomes all-important. Li is determined that he shall be removed as Governor Taiwan and replaced by a Li man so as to remove Taiwan as possibility refuge Generalissimo, as well as to obtain control of resources there. With full prestige of Li, supported by Canton generals and Ho Ying-chin, Li hopes Chen Cheng will see reason and accept transfer. On other hand, he might not. Li is very interested, therefore, in obtaining some form of US support of his action. He suggested a statement from us which I immediately said would be inconceivable. He then stated as a fact that when Generalissimo was considering retiring, he had first planned retire Taiwan. Governor had mentioned possibility to our Consul General who had remarked casually that legal status Taiwan would not be determined until Japanese [peace] treaty was signed. This casual remark, according to Li, was reported to Generalissimo with result Generalissimo decided he could not retire to place where sovereignty China might be questioned, and thus went Fenghwa instead. Li wondered whether our Consul General there could not be authorized at time Chen Cheng is transferred to remark casually to Chen that he assumed he would be obeying his instructions as in interest of his country. I changed subject without comment, but the idea may have merit. Although Li would not admit possibility miscarriage his plans, he left me with impression of conviction that without him and his supporters C–C clique and Generalissimo would be unable form even façade of government.

Sent Department Cantel 303, repeated Nanking 238, Shanghai 191.

CLARK

[illegible]

Memorandum by the Acting Secretary of State of a Conversation With the President

[WASHINGTON,] June 16, 1949.

CHOU EN-LAI "DÉMARCHE"

I brought the President up to date with respect to the Chou En-lai *Démarche* and read to him the pertinent sections of our reply.[*] He approved this course of action and directs us to be most careful not to indicate any softening toward the Communists but to insist on judging their intentions by their actions.

JAMES E. WEBB

893.002/6–1649 : Telegram

The Minister-Counselor of Embassy in China (Clark) to the Secretary of State

CANTON, June 16, 1949—5 p. m.
[Received June 17—10:09 a. m.]

Cantel 596. New Premier Yen Hsi-shan is old man, old even for his 67 years. After long conversation, would almost say he is in his dotage and it is to this man free China is entrusting its destiny.

Yen plans assume active role in administering affairs and hopes by his leadership to improve morale and by revising tactics along lines pursued so successfully by Communists 2 years ago to inspire Nationalist soldiers to fight. Also he plans a budget almost in balance, drawing only small sums each month from gold Hsu Kan is endeavoring obtain from Generalissimo. His talk was largely in vague generalities and didn't carry conviction. He wouldn't admit possibility government might move Chungking, saying "Cabinet will fight here to the last".

There is nothing to indicate that government under him will be any more efficient than its predecessor. Each Ministry is arranging deploy its forces in Taiwan, Chungking and Canton and in no Ministry, unless it is that of Education, is there any evidence of constructive thinking. The stultifying hand of Kmt leadership has the government in its grasp. No one seems capable of taking positive action and there is increasing evidence of fatalistic feeling that as course of events cannot be altered resistance is futile. I even sense a growing feeling of "why bother go Chungking?" Bulk ministerial personnel is going Taiwan now. I gather controlling element in decision government move Chungking rather than Taiwan is fear international repercussions

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[*] [illegible]

should seat government be established other than on mainland and particularly on Taiwan, status of which might be subject to question. There seems feeling impatience with slowness of march of events and desire get on to next phase wherein some way God, US or Confucius will bring about dawn of better day.

This connection, am becoming increasingly suspicious that Li Tsung-jen is in contact with Communists. Chu Chang-wei has been for some days in Hong Kong consulting Huang Shao-hsiung, member abortive peace delegation, who is reported on reliable authority to have recommended that time Li make his own peace with Communists. Press carries report which I am investigating that Liu Fei, former Vice Minister National Defense, and also at peace conference, paid secret visit Canton to see Li Tsung-jen this connection. Shall follow this matter further, of course, but deployment Pai Chung-hsi's troops and his unhappy state of mind when he last visited Canton tend confirm my suspicion.

Sent Department Cantel 596, repeated Nanking 398, Shanghai 341.

CLARK

893.00/6-1749 : Telegram

The Consul General at Peiping (Clubb) to the Secretary of State

PEIPING, June 17, 1949—5 p. m.
[Received June 17—6:42 a. m.]

1031. ReDeptel 367, June 14. I agree in undesirability committing reply to original channel as direct transmitting agency. Believe further, however, undesirable endeavor use new channel since this would merely broaden possibilities leakage.

After consultation with Barrett, believe best procedure would be inform Koon it is desired make reply but by direct contact either Barrett or myself with either Chou En-lai or his secretary (who made arrangements for first interview with Koon) with Chou himself to stipulate what channel he would prefer for safe reply.

Note this would (1) avoid any compromise Chou by insecurity new channel, (2) leave up to his own judgment in first instance matter of security reply (any counter-proposition from Chou would of course have to be acceptable to us to get our compliance), (3) incidentally check Chou's willingness accept such communication, and (4) provide practical check at same time on first communication. By this procedure be it noted there would be avoided any further diffusion of matter.

Please instruct.

CLUBB

Despite appearance of feebleness, Yen showed full mental alertness and at times humor.

Strong

894A.00/10–2949 : Telegram

The Chargé in China (Strong) to the Secretary of State

CHUNGKING, October 29, 1949—7 p. m.
[Received October 31—3 : 44 a. m.]

Cantel 1248. October 26 Chu Chang-wei in conversation at Embassy said a Chinese Communist offensive against Taiwan would be mounted "soon" and although many Communists had been killed in Chinmen Tao battle they had secured beachhead and Nationalists would lose Chinmen before long. Accordingly he urged US decision on Taiwan policy (Cantel 1221, October 23 [41]) in view length time required for negotiations with Chinese Government and implementation agreement. He reiterated President Li preferred see Taiwan in hands of friendly country to its capture by Communists.

At military conference held few days ago at Hainan, according to Chu, "former" Chief of Staff Ku Chu-tung told Pai Chung-hsi that Generalissimo had decided appoint him Minister National Defense. Said to have replied "too late ", that he could now accomplish nothing. Chu said President Li has also lost enthusiasm for this appointment.

Conference of most military men in Nationalist China being convened here soon is to determine over-all defense strategy, Chu stated.

STRONG

893.20/10–2949 : Telegram

The Chargé in China (Strong) to the Secretary of State

CHUNGKING, October 31, 1949—noon.
[Received October 31—7 : 14 a. m.]

Cantel 1250. TelCan 735, October 26. Department's reply orally communicated to President Li October 29 through Chu Chang-wei.

Chu stated Li understood possible misinterpretation departure from China at this time and Li was sure to appreciate statement US Government giving careful consideration to use of $75 million.

No indication given by Chu as to next move by Li except that matter had intentionally been kept out of hands of Foreign Office (probably to avoid any leak in event plans dropped).

We believe Li will not proceed US. There is possibility that his approach re trip was intended primarily to sound out US attitude

[41] Vol. IX, p. 400.

Nationalist Government but professed faith in ultimate victory if faith and determination retained.

Sent Chungking 84, repeated Department.

LUTKINS

893.01/11-749: Telegram

The Chargé in China (Strong) to the Secretary of State

CHUNGKING, November 7, 1949—3 p. m.
[Received November 7—9:30 a. m.]

Cantel 1261. Recent public and private denials of intent to move capital to Kunming may possibly be based on the theory that Szechwan better able support large military forces. However, there are indications denials may be intended reassure Szechwan leaders and people they will be defended and thus gain greater local support for government. We understand that publicity over projected removal to Kunming has been undermining government cause in Szechwan.

Whether capital moved Kunming or remains Szechwan to end may be dictated by Communists, and not remain free choice of Nationalists. If Communists able take Kweiyang in next month or two, move to Kunming would seem questionable.

Sent Department Cantel 1261. Department pass Hong Kong 53, Kunming 37, Taipei 206.

STRONG

893.00/11-949: Telegram

The Chargé in China (Strong) to the Secretary of State

CHUNGKING, November 9, 1949—4 p. m.
[Received November 9—2:37 p. m.]

Cantel 1268. Foreign Minister Yeh states he going Taiwan in few days to see Generalissimo. Claims will repeat to Generalissimo what he has urged in past that southwest China including Szechuan, Yunnan, Kweichow and part of Kwangsi be considered locale of "last stand", that all resources of China be devoted to this end and that idea of turning Taiwan into final bastion following loss of all mainland be abandoned. Says government now divided into two distinct camps on this question.

Yeh described southwest as shield for southeast Asia. In addition he felt Government would be fiction if had no hold on continent and said "apart from legal aspects" island could not long be held. He referred to hopes of many that MacArthur would wish assure security of Taiwan, that US would underwrite its defense. Thinks Air Force

and Navy should be given up and savings be devoted to southwest and first line troops now Taiwan should be used southwest.

In closing subject Yeh said hoped all friendly nations would refrain from expressing belief either in public statements or by individual representatives that Taiwan can be made impregnable. Anything of this nature would end any slight hope of centering major effort on continent. Although Foreign Office supposedly controlled by Generalissimo, during past month Yeh has given several indications not entirely overtly that his thinking is much closer to Li-Pai group than to Generalissimo. Foregoing is another such evidence.

Sent Department Cantel 1268; repeated Taipei 209; Department pass Taipei; pouched Hong Kong, Kunming.

STRONG

893.00 Yunnan/11-949: Telegram

The Vice Consul at Kunming (Luthin) to the Secretary of State

KUNMING, November 9, 1949—6 p. m.
[Received November 10—6:25 p. m.]

224. This telegram summarizes following despatch on political developments during past six [weeks?].

[Here follows summary.]

Like most observers here, I feel Commies can take Yunnan when they wish; time depends only on their plans and food supply problems. I am convinced that mountainous terrain will offer no effective obstacle. Province may go within 2 months and there is little hope of effective Nationalist resistance here for more than 6.

Department pass OffEmb Chungking as 85.

LUTHIN

893.00/11-1049: Telegram

The Chargé in China (Strong) to the Secretary of State

CHUNGKING, November 10, 1949—2 p. m.
[Received November 10—5:43 a. m.]

Cantel 1271. We see in recent Chinese Government proposal to French that fugitive Annamese leaders be installed in Indochina north border regions (Cantel 1266, November 9, 11 a. m.*) a second best alternative to original idea of obtaining French assent to entry of Pai Chung-hsi forces into Indochina (Cantel 1220, October 27) which Chinese Government probably felt could never be obtained from French without US initiative and strong support.

* Not printed.

offer excellent opportunities for intelligent exploitation by the American side.

Please pass VOA[*] for background.

Sent Department 4782. Department pass Moscow.

McConaughy

893.00/11–1549 : Telegram

The Chargé in China (Strong) to the Secretary of State

CHUNGKING, November 15, 1949—11 a. m.
[Received November 15—4:13 a. m.]

Cantel 1281. Chungking's overcast skies are more than matched by gloom and depression caused by political and military failures.

Earlier hopes of high officials that substantial progress could be made in southwest toward political unity and military unity and reform have been blasted. Postponement by Generalissimo of his visit to Chungking scheduled for early November has served waste valuable time, antagonize local leaders and discourage government officials of all ranks.

Military scene is still one of retreat; defection; uncorrelated commands; long lines of "defense" with great gaps; inadequate pay, food and clothing for troops; financial and material stringency and mutual distrust.

Political scene is one of continuing deep division between Generalissimo and Li–Pai groups with no prospect of any healing of the breach; heightening of financial crises as result of lack of local support; gradually inflating silver paper currency which will soon no doubt enter an uninterrupted nose dive; and failure to satisfy local leaders on questions of governorship, their participation in affairs of state, self-defense organization and taxation.

US aid and/or third World War are regarded as only means of saving remnants of government and some of its territory. Which is considered more possible is hard to guess. We are constantly bombarded with argument that even though US aid was squandered in past and is lying on Taiwan unused US has obligation pour in more aid, that China is a US problem, not Chinese problem. A final hope, equally as unfounded as other two, is that Generalissimo will at this last moment be persuaded to throw Taiwan resources into southwest for final stand.

Disintegration is apparent in all fields and may increase in geometrical progression. It is unclear whether attempt will be made to hold Chungking to end, whether government will be able move Kunming, or whether some less well-known city such as Kwangsi temporary

[*] Voice of America.

capital of Nanning or Hsichang in southeast Sikang will be next seat of government. Pai Chung-hsi holds key to question of length of time Yunnan can be held. If he centers efforts in Kwangsi, Yunnan fate will soon be sealed. If he heeds desire of government that he move into Kweichow and Yunnan, latter can stand for additional period. His movements to date would indicate former course. Pai's forces may fall apart at seams with further retreat and defections.

At such time as government leaves Chungking, whether for other continental point, for Hainan or for Taiwan, many officials, particularly of lower ranks, we feel will no longer follow. If move is not to Taiwan, many other officials will leave government for Taiwan.

Once government no longer can maintain foothold on continent, it may be expected that it will have to be thoroughly reconstituted by Generalissimo because of belief of many of present ranking officials that a Chinese Government on Taiwan would have no meaning or real purpose and they would not continue with it. Also Generalissimo will desire have own men in office at that time.

Thus we feel that whereas enough of a government may exist while on continent for Embassy to follow and maintain contact new decision by Department will be required with regard to relations with island government.

Sent Department Cantel 1281, Department pass Hong Kong, Taipei, Kunming, Shanghai.

STRONG

893.00/11-1549 : Telegram

The Vice Consul at Kunming (Luthin) to the Secretary of State

KUNMING, November 15, 1949—2 p. m.
[Received November 15—5:50 a. m.]

233. I have just been approached by a leading Yunnanese businessman who claims to represent a group of top-ranking local government officials and businessmen. This group points to President Truman's statement that US Government would aid any group in China which actively opposed Communism. It guarantees that if America issues statement promising to defend Yunnanese independence and territorial integrity it will do anything desired by US Government. It is willing to break with Central Government, accept American protectorate and American troops, and to follow orders of American military, political and economic advisers. If desired, it would issue public statement requesting US Government to intervene and defend Yunnan against Communism.

893.00/12-149 : Telegram

The Consul General at Peiping (Clubb) to the Secretary of State

PEIPING, December 1, 1949—3 p. m.
[Received December 1—1:50 p. m.]

2149. French, British, Netherlands Consuls confirmed [they] received likewise Chou's statement mytel 2128, November 30, but Belgium and Italy in non-receipt.

Acknowledged receipt letter addressed Wang Ping-nan personally yesterday, informing him also had transmitted statement as requested that date.

Sent Department 2149; Department pass Shanghai 1247, Nanking 1197.

CLUBB

893.001/12-249 : Telegram

The Chargé in China (Strong) to the Secretary of State

HONG KONG, December 2, 1949—1 p. m.
[Received December 2—5:11 a. m.]

Cantel 1316. In accordance telCan 777, November 30, I today expressed to President Li US Government's views on question of possible resignation in US.

Li declared very definitely that he does not intend resign at all, that he is returning to China after his US visit and that he is determined to hold his present post. He added that Generalissimo will not resume presidency and has so stated to him.

STRONG

893.01/12-249 : Telegram

The Chargé in China (Strong) to the Secretary of State

HONG KONG, December 2, 1949—3 p. m.
[Received December 2—1:47 p. m.]

Cantel 1318. Foreign Office protocol chief [who] recently arrived Hong Kong declares belief widespread among responsible officers of Chinese Government that government should remain on mainland as long as possible. Although he questions whether government will retreat to Hsichang when Chengtu untenable he claims Premier Yen determined remain on continent. Source declares Yen recently declared occupation of Taiwan by Chinese Government was most unfortunate event of postwar period in that it diverted thought and effort from mainland and created "island bastion" outlook. We may therefore see an attempt to keep a corner of mainland such as Luichow Peninsula,

with its relatively narrow neck as main defense line, as haven for government. We question whether Pai Chung-hsi can long hold Nanning.

Source also stated Executive Yuan did not organize move to Chengtu but each ministry or other organ "scrambled" for itself. Only with greatest difficulty did he finally charter plane to bring French, Italian and Korean diplomats to Hong Kong. He congratulated US Embassy for leaving when it did, on its own means of transportation.

Sent Department Cantel 1318, repeated Taipei 230, Hong Kong by hand.

STRONG

893.01/12-349 : Telegram

The Consul General at Peiping (Clubb) to the Secretary of State

PEIPING, December 3, 1949—10 a. m.
[Received December 3—4:06 p. m.]

2194. Met December 1 with Chang Tung-sun who reported he had seen Chou En-lai at conference November 30 (mytel 2110, November 29 [28]). Chou acknowledged receipt letter but "didn't mention" Mukden matter. Chang still in nonreceipt reply to letter. Chang evinced interest in Mukden matter, opined settlement would be improvement. He said, however, saw little chance for general improvement Sino-American relations due political orientations. Reply question, however, he said Soviets not "controlling" all China; they were concentrating on Manchuria. He expressed belief Soviets were preparing for war; in which event, he opined, Soviets would move much of their industry Manchuria. (This seems farfetched hypothesis, probably reflects Chinese hope get something out of developments.) Chang admitted Soviets take strong attitude Manchuria, but less strong stand in China Proper. He said Chinese leaders experiencing much "bitterness" regarding matter but are without recourse: they lack force with which oppose. Lin Piao and others in south unaware course events and in any event few Chinese troops remain Manchuria. Said China, by itself, would be unable solve problem Manchuria; that problem could be solved only by (1) settlement American-USSR differences or (2) war between USA and USSR with former winning. He admitted China, in present political circumstances, unable call in outside support against USSR.

Looks like Chinese Communists beginning discover what imperialism is really like.

Sent Department 2194; Department pass Shanghai 1267.

CLUBB

influence effectiveness Communist action in response to such representations. However, we see no objection to using titles both sides if considered preferable in local situation, as Communist official addressed would in any case be local official and question implied recognition National Government would not arise. Believe question can usually be side-stepped by use of unaddressed memo delivered to Aliens Affairs Office with oral or textual request it be transmitted to appropriate authorities. Embassy agrees consular officers, as opposed diplomatic, should use official title in all cases where intercourse will not thereby be impeded. By so doing we maintain our position that consular officers are always competent to deal with any local authorities while diplomatic intercourse limited to National authorities.

Sent Department 1102; repeated AmEmb Canton 459; Shanghai 624; Peiping 179.

STUART

124.931/5-2249 : Telegram

The Acting Secretary of State to the Ambassador in China (Stuart)

WASHINGTON, May 24, 1949—9 p. m.

634. Urtel 1083, May 22. Dept wishes commend Emb on efficient and exhaustive manner in which it has proceeded re transmission protest Commie autlis. Dept predisposed believe Commies shld not be allowed forget incident or necessity satisfactory reply to protest, but willing give Emb discretion it requires in accordance final para reftel.

WEBB

893.00/6-649 : Telegram

The Ambassador in China (Stuart) to the Secretary of State

NANKING, June 6, 1949—9 a. m.
[Received June 7—12:36 a. m.]

1215. Lo Hai-sha [43] June 3 brought message to me from Chen Ming-shu, Shanghai representative of Li Chi-sen, and leaders Shanghai KmtRC.[44] Latter has been very active in Shanghai, Hong Kong, Canton in rallying Kmt liberals to join with him in strengthening their point of view in prospective new Chinese government. He intends strongly to advocate friendly relations with USA. He has

[43] Nanking representative of General Chen Ming-shu.
[44] Kuomintang Revolutionary Committee.

acceded to pressure to go to Peiping because of realization that high policy discussions can only be fruitful at top level. He feels talking with even men like Chen Yi, new mayor Shanghai, is of only slight value.

Chen Ming-shu plans to call on me on his way north. Lo himself was surprised when I gave him facts about US aid to Nationalist Government and explained why shipments of munitions are still coming. During our discussion of Taiwan and US position I remarked to Lo that perhaps simplest thing would be to ask CCP leaders to look at facts. We could have included Taiwan in SCAP [45] or even claimed it as our share of postwar settlement as USSR did with Sakhalin and Kuriles, to say nothing of Manchuria. Actually we have even limited ECA activities to a few projects directly benefiting native farmers. Lo pointed out that both he and Chen will have to be very careful in not seeming to plead America's case before men as suspicious as CCP leaders.

Embassy undertaking to gather some factual material on US-Sino relations and US aid to China to assist Chen in his discussions Peiping.

Sent Department 1215; repeated Shanghai 658, AmbEmb Canton 500, Peiping 200.

STUART

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893 Stuart, J. Leighton : Telegram

The Ambassador in China (Stuart) to the Secretary of State

NANKING, June 8, 1949—noon.
[Received June 8—1:09 a. m.]

1274. I, of course, wish to visit Shanghai before returning to US on consultation and I have made arrangements to do so June 11 to 14, inclusive. Trip has been cleared with local Communist authorities who will send representative with me. I shall also be accompanied by Attaché Kierman and Philip Fugh. I plan to travel on night train (sleeper) to Shanghai June 11, returning Nanking same manner night June 14.

I am making my trip subject of local press release to US correspondents, having it on Department's instructions to assure myself of welfare of American citizens in Yangtze basin before returning to US on consultation.

Sent Department; repeated OffEmb Canton 610, Shanghai 663.

STUART

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[45] Supreme Commander, Allied Powers in Japan (MacArthur).